payment from another country once that country's debt is declared to be odious.

The possibilities of such a mechanism are dramatic. If a commission had declared Mobutu Sese Seko odious early on in his regime, he would not have been able to build up Zaire's debt to $12 billion, or to use $4 billion of it in building his own personal assets. He might not even have lasted long in power if he had not been able to borrow to keep his regime afloat. Certainly, the objectives of those advocating mechanisms to declare debt 'odious' are compelling (see Kremer and Jayachandran in *F&D*, June 2002, p. 36).

Unfortunately, the mechanism would not work as precisely as this example suggests – it would be more of a neutron bomb than a laser-guided missile. Not only would it make it more difficult for odious regimes to borrow, but it would also make borrowing more difficult for any legitimate regime that had even a remote possibility of being succeeded by an odious regime. A fledgling democratic regime, struggling to borrow to avoid the consequences of drought, might find the going even harder if creditors were also attempting to judge the possibility that the regime might collapse. If the regime gave way to a nasty successor, the debt would be declared odious, imposing huge losses on the creditors. Anticipating this, the creditors would not lend, making regime change more likely. How, then, does one prevent the odour of future odious debt from polluting all prior debt and making borrowing more difficult for all countries that have even a remote possibility of future regime change?

A clever proposal is simply to restrict odium to future debt (Kremer and Jayachandran, 2003). In other words, successor regimes could legitimately escape repayment only of the debt that is issued after the commission declares a regime's debt odious. The beauty of this idea is that markets would not be left guessing about whether